

future capital expenditures often requires estimates. Still, he says, quoting Keynes, “I would rather be vaguely right than precisely wrong.”

Profit Margins

Like Philip Fisher, Buffett is aware that great businesses make lousy investments if management cannot convert sales into profits. There’s no big secret to profitability: It all comes down to controlling costs. In his experience, managers of high-cost operations tend to find ways to continually add to overhead, whereas managers of low-cost operations are always finding ways to cut expenses.

Buffett has little patience with managers who allow costs to escalate. Frequently, these same managers have to initiate a restructuring program to bring costs in line with sales. Each time a company announces a cost-cutting program, he knows its management has not figured out what expenses can do to a company’s owners. “The really good manager,” Buffett says, “does not wake up in the morning and say, ‘This is the day I’m going to cut costs,’ any more than he wakes up and decides to practice breathing.”²⁵

Buffett singles out the accomplishments of some of the best management teams he has worked with, including Carl Reichardt and Paul Hazen at Wells Fargo and Tom Murphy and Dan Burke at Cap Cities/ABC, for their relentless attacks on unnecessary expenses. These managers, he says, “abhor having a bigger head count than is needed,” and both managerial teams “attack costs as vigorously when profits are at record levels as when they are under pressure.”²⁶

Buffett himself can be tough when it comes to costs and unnecessary expenses. He understands the right size staff for any business operation and believes that for every dollar of sales, there is an appropriate level of expenses. He is very sensitive about Berkshire’s profit margins.

Berkshire Hathaway is a unique corporation. It does not have a legal department, or a public relations or investor relations department. There are no strategic planning departments staffed with MBA-trained workers plotting mergers and acquisitions. Berkshire’s after-tax corporate expenses